China Equity Strategy

Policy put emerges after tech sell-off, 2Q earnings catalyst

Equity Macro Research

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Policy put emerges after AI-led deaveraging. The sharp AI-led onshore sell-off has finally triggered a policy response. Over the weekend, China Reform Holding and China Chengtong announced Rmb60bn of purchases in onshore equities and ETFs, while indicating they will continue to add holdings. Notably, tech companies were explicitly included alongside central SOE stocks and ETFs. Our ETF flow tracker shows a swift reversal over the past week across both benchmark ETFs and AI/tech-focused products such as STAR 50 and STAR Chip ETFs. Daily A-share buybacks have also recently surged to a YTD high (Figure 1-Figure 4). Positioning also looks less stretched, with the A-share margin-buy ratio normalized and, regionally, Korea's leveraged ETF unwind estimated to be ~75% through. In early July we called for a tactical rotation into non-AI trades, but this trade may regain traction in late July/early August as solid global earnings guidance coincides with a healthier price set-up following the recent deleveraging. Our US equity strategist expects 2Q26 hyperscaler results to continue validating the AI infrastructure build-out, with upside risk to consensus capex over the next 4–6 quarters and further upward earnings revisions for semiconductors. However, a more sustainable market rebalancing in China equities still requires stronger fundamental support from non-AI and domestic demand cohorts, which appears limited at this stage. Our China economists expect additional policy support could be introduced after the July Politburo meeting if June activity data and 3Q momentum remain soft. JPM China AI ecosystem top picks are **Zhongji Innolight, Victory Giant-H, JCET-A and Weichai-H** in the global supply chain, and **NAURA, AMEC-A, Baidu, Zhipu and Iluvatar CoreX** as localization plays. We think China's AI ecosystem can reassert leadership during the earnings season, outperforming on both 2Q results and 2H guidance.

- **2Q26 earnings: achievable bar, eye on potential upgrades from Materials, IT, Industrials, and non-bank Financials**. The 2Q26 EPS y-y consensus growth estimates of 2.8%/15.7% for MXCN/CSI-300 appear achievable to us without significant downward revision. Resilient performance from upstream commodities, IT, industrials and non-bank financials should help offset continued pressure in broad consumption, property, traditional infrastructure and related upstream sectors. However, bifurcation could remain within sectors, e.g. across internet platforms where revenue quality is improving in AI cloud service though bottom-line consensus remains constrained by elevated AI capex and reinvestment cycles. We recommend investors position for names with visible earnings upgrade trajectories and improving margins, namely IT, industrials, and materials while remaining cautious on sectors where revenue deceleration coincides with sticky cost structures, i.e. consumer staples in particular liquor, and second-tier property.

- **The Internet Sector Conundrum: China's internet sector may see a revenue-up, earnings-flat dynamic**. The nuance lies in the divergence between operating momentum in core businesses and the dilutive impact of accelerated AI investment on bottom-line outcomes. Tencent: for 2Q26, JPM forecasts revenue to rise ~9%y-y, with VAS up 5–6%, games up 9–10%, marketing services up 18–19%, and fintech up around 5%, showing continued strength in established businesses; however, adjusted EPS was cut by 5% after the FY26 capex estimate was raised to RMB200bn, with the reduction attributed to heavier AI investment and depreciation from 2H26 rather than any deterioration

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

in established businesses. Alibaba: JPM expects substantial upward revision in cloud profitability to be largely offset by continued softness in core commerce customer management revenue, leaving group-level full-year earnings essentially unchanged net-net. Baidu: Advertising revenue is expected to decline by ~23%/21% in 2Q26/2026, alongside sustained AI investment intensity, which has driven ~12% YTD downward revisions to full-year EPS, despite high double-digit AI cloud revenue growth (JPMe: +87%y-y in 2Q26). The net takeaway is that the internet sector is not experiencing a traditional earnings downgrade cycle, but rather a deliberate reinvestment cycle that is compressing near-term margins in exchange for longer-term optionality—an outcome that the market is still in the process of re-rating.

- **Likely outperformer #1 – Information Technology & AI Supply Chain:** Global AI capex remains the dominant secular tailwind for China's technology hardware ecosystem. The dual-circulation dynamic—domestic AI infrastructure buildout alongside overseas hyperscaler demand—continues to drive export momentum and electronic supply chain profitability. Semiconductor equipment stands out with a 70.0% positive profit alert ratio, while the broader IT sector is expected to deliver 72% y-y EPS growth in Q2 for CSI 300 constituents, with full-year 2026 consensus at 96%. Materials sectors leveraged to advanced manufacturing, particularly specialty chemicals and new materials, are compounding this uplift.

- **Likely outperformer #2 – Industrials & Advanced Manufacturing:** Industrial profit momentum has inflected decisively higher. Operating profit growth for above-scale industrial enterprises continues to outpace revenue expansion, indicating sustained net profit margin improvement across the sector. Machinery, high-end equipment and defense contractors are seeing tangible order conversion, with capacity utilization rates for auto manufacturing and chemical fibers sitting at elevated percentiles versus history. Within the CSI 300 universe, the industrials sector is expected to deliver 10.6% y-y EPS growth in Q2, with full-year 2026 consensus at 20.3%. The breadth of positive profit alerts is particularly encouraging—machinery and electrical equipment sectors report 85.7% and 69.8% positive pre-announcement rates respectively, signaling broad-based operational improvement rather than idiosyncratic strength.

- **Likely outperformer #3 – Financials:** The financial sector is experiencing a pronounced earnings rebound driven by capital markets recovery. Average daily A-share trading value doubled y-y in Q2, accompanied by substantial margin financing expansion, and ongoing IPO rush. Securities firms are the primary beneficiaries (Figure 17 and Figure 18). Insurance companies are also seeing meaningful recovery in equity investment floating gains. Within the CSI 300, financials EPS growth reaches 3.7% y-y in Q2, accelerating to 31.6% for full-year 2026 as the operating leverage from market activity compounds. Energy and materials sectors, while cyclical in nature, are delivering the strongest headline EPS growth at 52.8% and 72.4% respectively for Q2 CSI 300, supported by commodity price stabilization and supply discipline.

- **Likely underperformer #1 – Real Estate & Post-Property Cycle:** Property and its downstream value chain remain the most significant drag on aggregate earnings. Thirty-city commodity housing sales continue to contract y-y, with no meaningful inflection in sight. Building materials, home appliances, and furniture sectors face sustained revenue pressure, compounded by raw material cost increases including resin price hikes. Furniture industry operating profits collapsed 59% y-y in the first five months, while real estate development and

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management have reported an 18.7% first-loss ratio among pre-announcing firms.

- **Likely underperformer #2 – Consumers:** Consumer sectors are navigating a high-base hangover from last year's trade-in subsidy programs. Auto and home appliance sales growth has decelerated materially in Q2 as the favorable year-ago comparison rolls off. Auto industry operating profit fell 20% y-y in 5M26, with auto components reporting a 14.1% first-loss ratio. Consumer discretionary overall is tracking -6.9% y-y EPS growth for MXCN names in Q2 on consensus, with autos, household durables, and specialty retail all contributing negatively. Even consumer staples are seeing pressure, with food products and beverages registering elevated earnings decline ratios.

- **We maintain our end-2026 base case targets for the MXCN index and CSI-300 at 100 and 5,200, respectively**, with bear-case targets of 80 and 4,000, underpinned by 13% and 24% consensus year-over-year EPS growth projections and broadly supportive liquidity conditions. Our China economists expect additional policy support could be introduced after the July Politburo meeting if June activity data and 3Q momentum remain soft. **Our top picks in the non-AI fields include Bank of China-H, CICC-H, Innovent, BYD-H and CR Land**.

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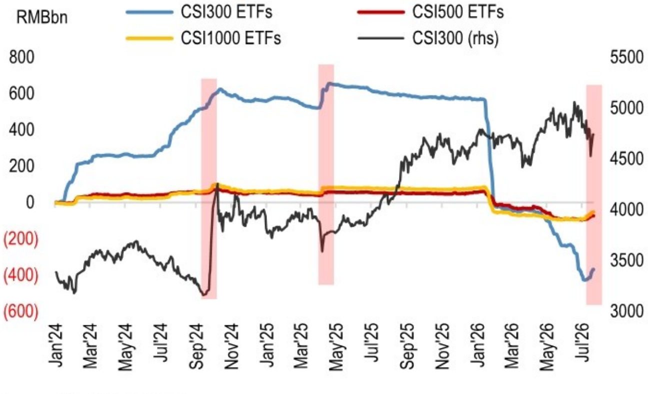
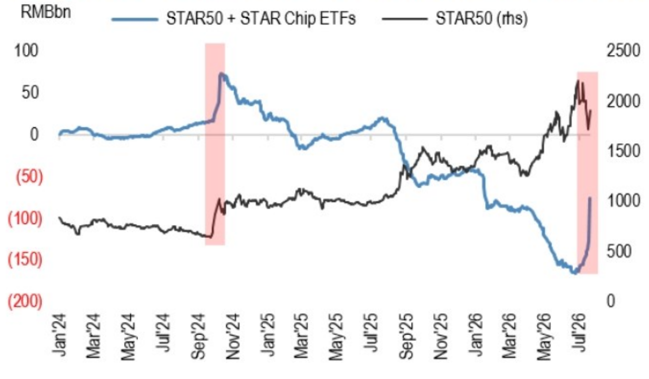
Figure 1: Accumulative benchmark ETF inflows since 2024: market tends to recover following the ETF inflow upticks



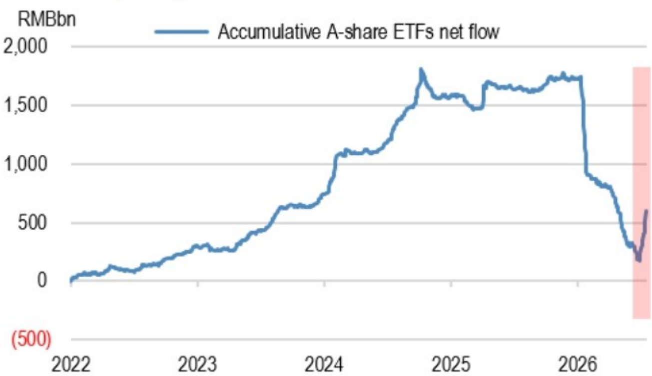
Source: Wind (21 Jul 2026)

Figure 2: Accumulative STAR50 + STAR Chip ETF inflows since 2024



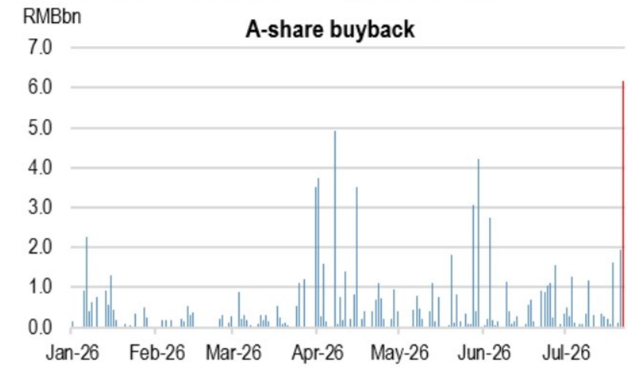
Source: Wind (21 Jul 2026)

Figure 3: Accumulative A-share ETF net flow has seen more than RMB1trn drop this year



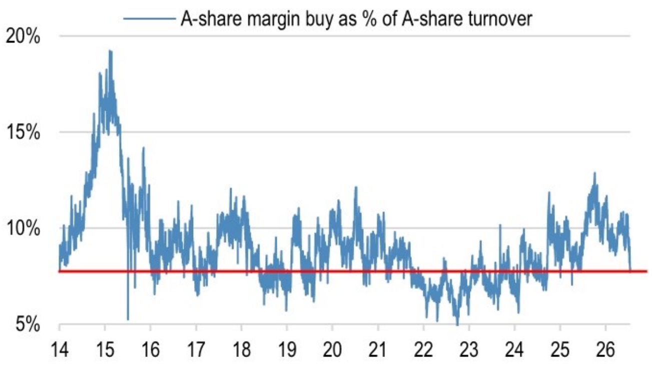
Source: Wind (21 Jul 2026)

Figure 4: A-share daily buyback surged to YTD high



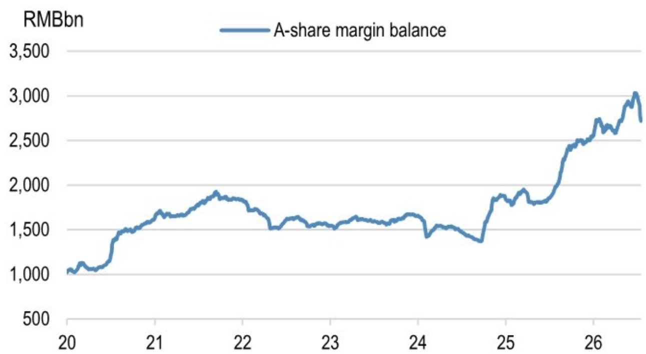
Source: Wind (21 Jul 2026)

Figure 5: Onshore margin activity has cooled



Source: Wind (21 Jul 2026)

Figure 6: A-share margin balance eased on the margin



Source: Wind (21 Jul 2026)

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Figure 7: MXCN EPS y-y by sector (2Q26/2H26/2026 on consensus)

GICS Sector Name	1Q26	2Q26	2H26	2026
Index	-19.1%	2.8%	16.7%	8.8%
Communication Services	5.8%	2.7%	4.1%	6.0%
Consumer Discretionary	-68.8%	-6.9%	81.5%	13.1%
Consumer Staples	-47.7%	-0.1%	69.8%	18.2%
Energy	12.5%	44.0%	38.7%	25.1%
Financials	-7.4%	-0.5%	-6.6%	-0.1%
Health Care	-32.4%	16.9%	109.9%	36.4%
Industrials	-9.0%	6.0%	15.3%	13.4%
Information Technology	0.6%	-12.6%	25.1%	14.5%
Materials	16.5%	73.2%	82.8%	71.0%
Real Estate	-85.6%	-9.8%	26.4%	8.9%
Utilities	-2.5%	5.2%	-30.1%	-12.1%

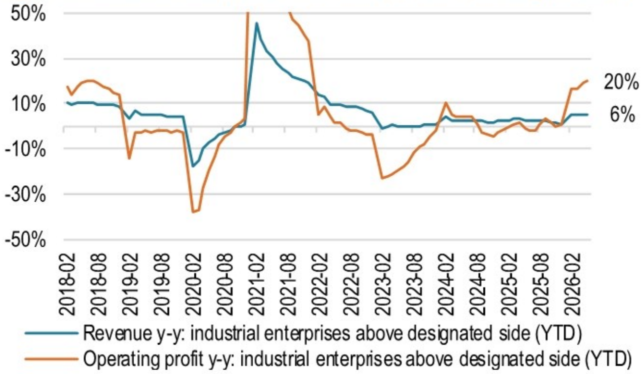
Source: LSEG Workspace (17 Jul 2026), Wind (17 Jul 2026), MSCI (1 Jul 2026)

Figure 8: CSI-300 EPS y-y by sector (2Q26/2H26/2026 on consensus)

GICS Sector Name	1Q26	2Q26	2H26	2026
Index	6.8%	15.7%	38.3%	24.4%
Communication Services	2.3%	6.8%	52.4%	20.0%
Consumer Discretionary	-9.3%	-5.0%	30.8%	6.4%
Consumer Staples	-6.2%	-8.6%	22.3%	3.1%
Energy	17.8%	52.8%	43.3%	31.6%
Financials	-5.5%	3.8%	5.3%	4.9%
Health Care	5.2%	-2.3%	71.6%	26.1%
Industrials	9.3%	10.6%	20.4%	20.3%
Information Technology	76.5%	71.9%	109.9%	96.3%
Materials	83.0%	74.1%	63.1%	61.0%
Real Estate	-22.8%	58.8%	92.9%	80.4%
Utilities	6.3%	6.2%	-2.5%	3.6%

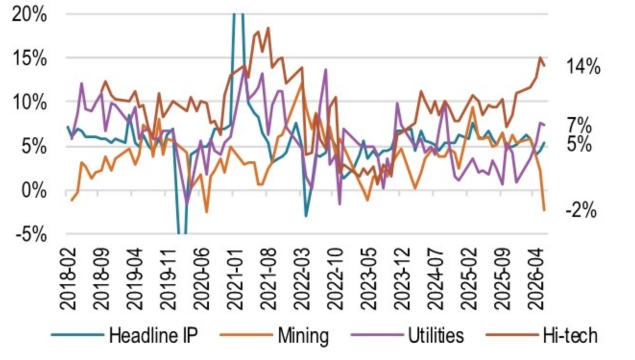
Source: LSEG Workspace (17 Jul 2026), Wind (17 Jul 2026)

Figure 9: Industrial enterprises' revenue y-y and operating profit y-y



Source: Wind (17 Jul 2026)

Figure 10: Industrial Production by sector

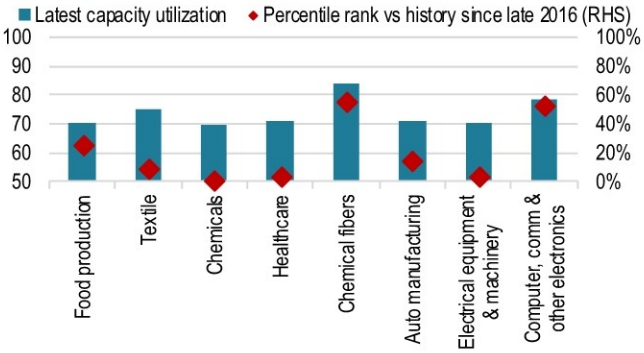


Source: Wind (17 Jul 2026)

Figure 11: Industrial capacity utilization

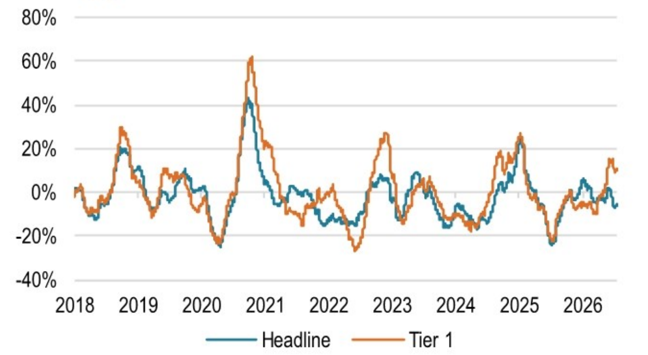
Source: Wind (17 Jul 2026)

Figure 12: Industrial capacity utilization by sector



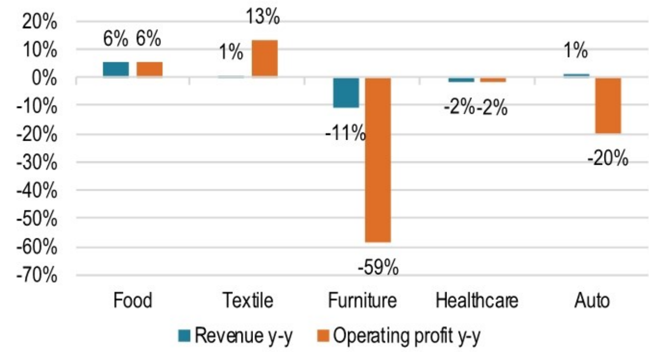
Source: Wind (17 Jul 2026)

Figure 13: China 30-cities' commodity housing sales (mn sqm, rolling 90d sum y-y)



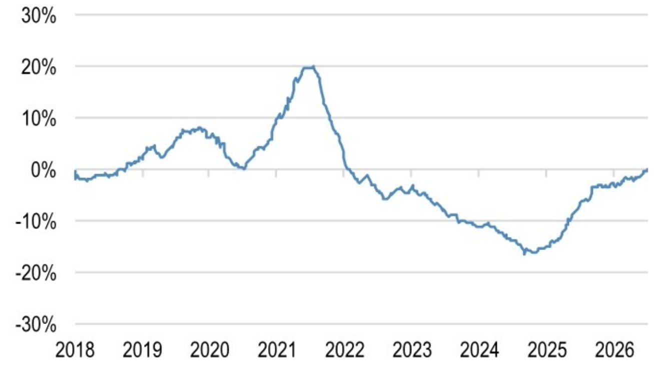
Source: Wind (17 Jul 2026)

Figure 14: Selected consumer industries' revenue and OP y-y in 5M26



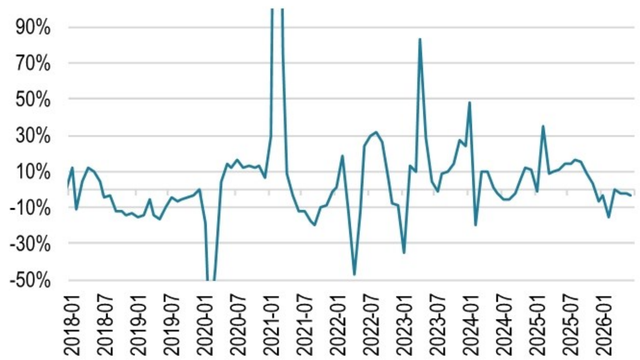
Source: Wind (17 Jul 2026)

Figure 15: China raw milk ASP y-y



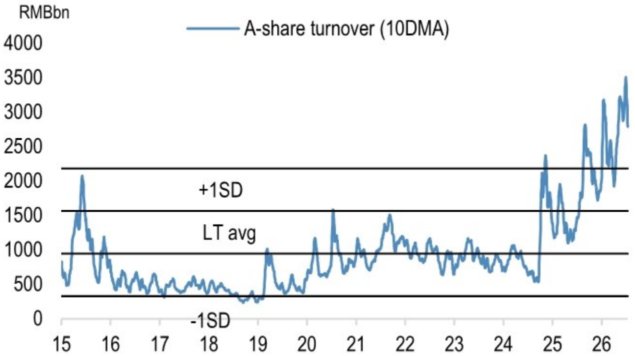
Source: Wind (17 Jul 2026)

Figure 16: China auto sales y-y



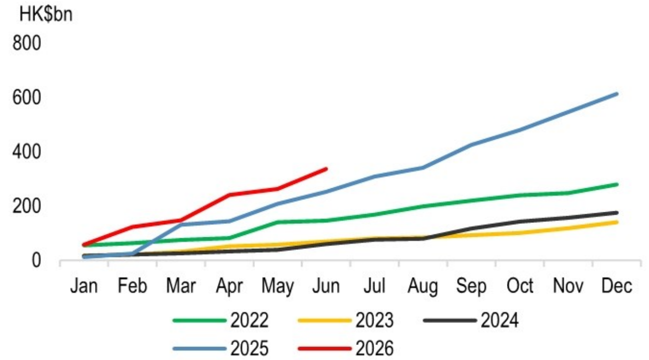
Source: Wind (17 Jul 2026)

Figure 17: A-share turnover



Source: Wind (17 Jul 2026)

Figure 18: HK market's equity financing



Source: Wind (17 Jul 2026)

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Figure 19: A-share 2Q profit alerts

GICS Sector	GICS Industry	Aggr. FF mkt cap (Rmb bn)	Return since end 1Q26	Return YTD	Positive profit alert %	(Sizable increase - sizable decrease)/ total	(Loss to profit - first loss)/ total
Consumer Discretionary	Auto Components	246.8	-10.9%	-18.5%	34.4%	-1.6%	-14.1%
	Automobiles	191.7	-34.6%	-43.1%	33.3%	0.0%	0.0%
	Distributors III	11.0	-8.1%	-7.3%	50.0%	50.0%	-50.0%
	Diversified Consumer Services	12.0	-20.2%	-31.3%	33.3%	16.7%	0.0%
	Hotels, Restaurants & Leisure	38.2	-23.2%	-26.8%	31.3%	-18.8%	18.8%
	Household Durables	145.6	-12.9%	-20.4%	19.6%	-16.1%	-23.2%
	Internet & Catalog Retail	41.7	37.5%	43.1%	100.0%	42.9%	42.9%
	Leisure Equipment & Products	25.6	-2.9%	5.7%	33.3%	22.2%	-11.1%
	Media III	171.0	-23.1%	-20.5%	20.0%	-7.5%	-10.0%
	Multiline Retail	32.7	-15.5%	-27.0%	40.0%	0.0%	-6.7%
	Specialty Retail	8.7	-18.6%	-21.6%	0.0%	0.0%	-50.0%
	Textiles, Apparel & Luxury Goods	87.7	-10.4%	-11.1%	38.1%	9.5%	2.4%
Consumer Staples	Beverages	195.7	-24.0%	-26.5%	35.0%	0.0%	0.0%
	Food & Staples Retailing III	29.4	-13.7%	-28.6%	42.9%	0.0%	14.3%
	Food Products	346.4	-13.6%	-19.3%	30.1%	6.8%	-27.4%
	Household Products III	6.3	-15.7%	-14.6%	50.0%	50.0%	0.0%
	Personal Products III	1.4	-7.1%	-24.0%	100.0%	100.0%	0.0%
Energy	Energy Equipment & Services	30.9	-17.6%	-3.7%	10.0%	-10.0%	-40.0%
	Oil, Gas & Consumable Fuels	362.6	-9.1%	7.9%	56.3%	28.1%	6.3%
Financials	Capital Markets	1,012.7	13.9%	-5.0%	89.7%	75.9%	3.4%
	Diversified Financial Services	45.2	-4.3%	-3.9%	60.0%	20.0%	20.0%
Health Care	Biotechnology III	99.6	-11.3%	-15.5%	35.3%	5.9%	0.0%
	Health Care Equipment & Supplies	39.7	-2.6%	35.3%	37.5%	12.5%	-12.5%
	Health Care Providers & Services	65.6	-17.3%	-19.0%	17.6%	-5.9%	-5.9%
	Life Sciences Tools & Services III	63.4	39.7%	39.2%	66.7%	33.3%	-33.3%
	Pharmaceuticals III	228.8	-1.5%	0.7%	48.1%	19.2%	-1.9%
Industrials	Aerospace & Defense	280.0	-25.6%	-28.3%	50.0%	4.5%	22.7%
	Air Freight & Logistics III	60.4	-11.4%	-3.0%	50.0%	28.6%	7.1%
	Airlines III	83.1	-14.6%	-38.6%	0.0%	-40.0%	0.0%
	Building Products III	70.2	13.4%	11.7%	26.1%	4.3%	-13.0%
	Commercial Services & Supplies	100.7	-11.0%	4.0%	42.4%	18.2%	-9.1%
	Construction & Engineering III	129.8	-12.2%	-2.7%	15.9%	4.5%	-13.6%
	Electrical Equipment	530.2	-16.9%	-12.9%	40.8%	17.1%	-11.8%
	Industrial Conglomerates III	26.3	-23.9%	-20.7%	40.0%	40.0%	-40.0%
	Machinery	584.2	0.2%	-8.7%	35.2%	11.1%	-14.8%
	Marine III	83.9	-7.4%	49.3%	85.7%	71.4%	14.3%
	Professional Services	46.4	-5.5%	-6.5%	36.4%	-9.1%	-18.2%
	Road & Rail III	16.5	-20.7%	-25.2%	16.7%	-16.7%	-16.7%
	Trading Companies & Distributors III	117.1	16.7%	3.3%	69.2%	46.2%	15.4%
	Transportation Infrastructure	18.9	-16.9%	-24.7%	50.0%	0.0%	-16.7%
Information Technology	Communications Equipment III	823.4	24.9%	46.2%	53.2%	31.9%	-2.1%
	Computers & Peripherals	335.5	40.2%	39.9%	87.5%	75.0%	0.0%
	Electronic Equipment, Instruments & Components	2,634.2	51.4%	50.3%	50.9%	25.0%	-3.4%
	Internet Software & Services III	89.3	-12.8%	-13.5%	56.3%	18.8%	18.8%
	IT Services	158.0	-20.7%	-26.6%	17.2%	6.9%	-20.7%
	Semiconductors & Semiconductor Equipment III	1,460.4	57.6%	70.0%	62.7%	40.4%	11.5%
	Software	426.2	-13.5%	-23.9%	34.3%	17.1%	-5.7%
Materials	Chemicals	1,390.5	-10.8%	-1.9%	61.0%	33.5%	7.5%
	Construction Materials III	200.4	18.9%	24.5%	21.4%	-3.6%	-17.9%
	Containers & Packaging	46.3	-12.0%	2.0%	50.0%	25.0%	6.3%
	Metals & Mining	2,275.5	-11.3%	-6.4%	68.8%	51.8%	-1.8%
	Paper & Forest Products	64.5	-24.4%	-26.8%	18.2%	0.0%	-18.2%
Real Estate	Real Estate Management & Development	275.4	-9.1%	-13.4%	17.8%	0.0%	-13.7%
Utilities	Electric Utilities III	150.9	-5.6%	9.7%	50.0%	5.6%	5.6%
	Gas Utilities III	12.4	4.9%	26.1%	60.0%	20.0%	20.0%
	Independent Power Producers & Energy Traders III	54.7	-28.3%	-3.2%	36.4%	-9.1%	-18.2%
	Multi-Utilities III	7.1	-13.0%	1.6%	50.0%	0.0%	25.0%
	Water Utilities III	10.5	-7.0%	-15.3%	100.0%	66.7%	33.3%
TOTAL		**16,103.4**	**3.3%**	**4.2%**	**43.1%**	17.5%	-5.3%

Source: Wind (16 Jul 2026)

Companies Discussed in This Report (all prices in this report as of market close on 22 July 2026, unless otherwise indicated)
AMEC - A(688012.SS/Rmb392.99/OW), BYD Company Limited - H(1211.HK/HK$87.85/OW), Baidu.com (BIDU)(BIDU/$107.52/OW), Bank of China - H(3988.HK/HK$5.19/OW), China International Capital Corporation (3908)(3908.HK/HK$22.18/OW), China Resources Land (1109)(1109.HK/HK$33.38/OW), Iluvatar CoreX - H(9903.HK/HK$585.00/OW), Innovent Biologics (1801)(1801.HK/HK$92.25/OW), JCET - A(600584.SS/Rmb85.78/OW), NAURA - A(002371.SZ/Rmb764.00/OW), Victory Giant Technology - H(2476.HK/HK$226.80/OW), Weichai Power - H(2338.HK/HK$32.80/OW), Z AI Co Ltd(2513.HK/HK$1175.00/OW), Zhongji Innolight - A(300308.SZ/Rmb1060.80/OW)

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